sideways in Q3 of doom. And the ones that at least maintain business-sense stay in Q4 and continue to frustrate us all the time.

Having understood all of this, let me point out three key reasons why your AI program may be at risk.

You are using AI because you have to

Although unlikely, for several organisations this is one of the main reasons for diving into AI in the first place. They are doing it only because everyone else seems to be doing it. Fundamentally, they have not figured out how it fits their strategy or overall business model and operation.

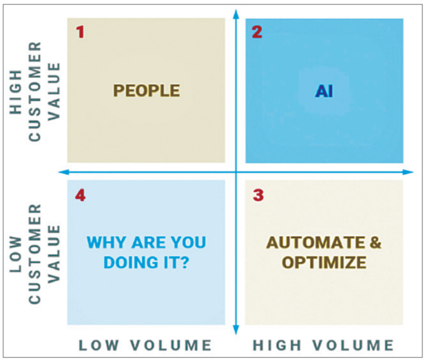
The issue with this approach is, you end up doing something using technology that may not be necessarily useful or impactful. Consider it like buying a new car only because everyone in the neighbourhood has one and you have disposable income. You end up not using it much yet spending time and money on maintenance and upkeep.

This approach puts your AI program at risk due to potential budget run-outs as well as getting into a rabbit hole of technology upkeep. Sooner or later, the endowment effect will kick in, and you will keep investing, just because you have done so much already, despite not seeing any ROI.

I highly recommend getting the answer to "Why you are using AI?" right.

You are using it in the wrong place

The second risk of AI (or any technology) project comes from using it for less impactful or outright meaningless applications. In my experience, it usually comes from vendor advice or so-called best-practice thinking. Just because someone else is doing it, it does not mean you should. However, for a vendor who is selling a solution to your industry, it makes perfect sense. What about you, your people, and your customers? Your decisions must follow that thought process and not what the vendor suggests or advises. Take all the advice you want but getting priorities right is crucial.



Making meaningful choice between tech and people

Last year, I spoke to some business owners when someone asked me: How to decide when to use technology and when to rely on humans? I managed to put it into a guiding model, as shown in the figure above.

When you deliver something that your customers value the most, but it has a low volume, it is ideal to choose human capital. It will be not only efficient but also empathetic for customers. However, if the need is higher accuracy at higher volume, perhaps AI-like technology is your best bet.

High volume yet low-value activities seem to be good candidates for automation. However, I recommend mix-n-match here. Not all activities need to be automated. There is a cost-benefit tradeoff.

When you use technology in the right place, the benefits are amazing; everywhere else, it can be painful.

Taking humans out of the equation

Full-time employee (FTE) savings often seem too attractive and are often one of the main reasons for taking humans out of the equation. Most technology vendors use FTE savings as one of the leading metrics for highlighting their tech solution's benefits. However, these benefits are only valid for the remaining financial year, which in most cases can be less than twelve months.

When you start looking at the overall benefit from the customer's point of view and thereby topline and bottom-line impact, it can often give you a different perspective. My recommendation is not to be hasty when taking humans out of the equation in such cases. Think about the reasons why you put them there in the first place.

Refer back to the earlier model for selecting tech or human capital.

For most businesses, they will never completely go into a dark-factory mode. Dark factories are fully automated, robotic facilities where there are no humans (or maybe a handful of them).

Moreover, it also depends on how you see your brand and business fitting into the whole ecosystem. If you are only profit-centered, anything for profit may look okay. However, if your brand and business stand for the community and the ecosystem around it, the consideration must be different. Taking humans out of the equation, making an extra profit while destroying the community around it is not something you would want to do.

The point is

All the three risks would only result in a waste of funds, not achieving goals, and eventually lagging in the fierce technological race by wasting time. So, to avoid risks:

1. Use technology for the right reasons. There is always a better way to achieve the outcome.
2. Use technology in the right place. Listen to vendors for their views but follow your internal team's advice.
3. Do not write off your human employees so quickly. Not now; perhaps, never.

Now, I have one question that I would like you to ponder over: What can you do today to be pragmatic and march towards a better future without losing this balance? END

By: Anand Tamboli

The author is a serial entrepreneur, speaker, award-winning published author, and an emerging technology thought leader.

The article was originally published in the February 2021 issue of Electronics For You.